

CLIFFCO Mortgage Bankers	Cliffco 7 - HELOC Correspondent							Effective Date: 08/01/26
	Email: lockdesk@cliffcomortgage.com							

Eligibility Matrix (Max HCLTV)		1st Lien			2nd Lien			
Loan Amount	FICO	Primary Residence	Second Home	Investment DTI / DSCR	Primary Residence	Second Home	Investment DTI	Investment DSCR
≤ \$500,000	740	80%	80%	75%	90%	85%	75%	70%
	720	80%	75%	70%	90%	85%	75%	70%
	700	80%	75%	70%	90%	85%	70%	N/A
	680	75%	70%	N/A	85%	75%	N/A	N/A
	660	70%	65%	N/A	70%	60%	N/A	N/A
≤ \$750,000	720	75%	70%	65%	80%	75%	65%	N/A
	680	70%	65%	N/A	75%	N/A	N/A	N/A
≤ \$1,000,000	720	75%	70%	65%	65%	N/A	N/A	N/A
	680	70%	65%	N/A	N/A	N/A	N/A	N/A

Program Parameters	
Limits	
Minimum Loan Amount	\$50,000
Maximum Loan Amount (1st Lien)	\$1,000,000
Maximum Loan Amount (2nd Lien)	\$1,000,000
Maximum DTI	50%
Maximum DTI Loan Amt >500k	43%
Minimum DSCR (Investor DSCR)	1.1x
Mortgage History	0x30x12
BK / FC / SS / DIL Seasoning	48 Months
Condo / NW Condo	Max CLTV 80% / 75%

Other	
Product Type	Variable Rate (Index + Margin) Home Equity Line of Credit Standalone 1st & 2nd lien only, no concurrent
Product Terms	3 / 5 Yr IO Draw 20 / 30 Amortization Terms
Index	WSJ Prime (as published on 1st Business Day of Month)
Floor Rate Life Cap	Floor = 4% Life Cap = 18% (or as otherwise required by state law)
Initial Minimum Draw	Minimum of 80% of the total line amount with minimum \$50k initial draw at time of purchase
Additional Draws	No additional draws during 90 day period post closing; Subsequent draws subject to \$5,000 minimum
Qualifying Payment	Fully amortized payment based on start rate + 2% on total credit limit
Qualifying Payment (DSCR)	Fully amortized PITIA payment based on start rate and total credit limit
Occupancy	Primary, Second Homes & Investment Properties
Income	Full Documentation: 1 (or) 2 Yrs W-2s or Tax Returns; Bank Statement: 12 or 24 Months Personal (or) Business Bank Statements P&L Only: Allowed subject to lower of grid or 80% LTV / CLTV; Min FICO 680+; Max Line Size of \$500,000 DSCR: Min DSCR 1.10x or greater; Debt Service for DSCR calculated using Qualifying Payment (as defined above) - Rental Income please see below
Lease / Gross Income (DSCR)	Lesser of Estimated Market Rent from Form 1007 or monthly rent from existing lease - higher lease rent allowed with (3) months receipt Lease in place required for all subject properties; 2+ Unit properties: Max 1 vacant unit allowed
Property Types	Eligible: SFR, PUD, Townhome, 2-4 Units, Condo & Rural Condo Max 80% CLTV / Non-Warrantable Condo Max 75% CLTV Maximum acreage limited to 10 acres. Acreage > 2 acres limited to 80% CLTV Ineligible: Row Homes, Condotels, Commercial/Agricultural, Leaseholds, Land Trusts, Age-Restricted Communities, Hobby Farms, Modular, Land Contract & Log Homes
Rural Property Overlays	Max CLTV 70% w/ 720+ FICO; Max CLTV 60% w/ 700+ FICO Primary only 500k Loan Amount Max Max 10 acres Full Appraisal required SFR/PUDs only; No Agricultural features (eg Barns, Stables, Farmland, Livestock, Workshops)
Assets / Reserves	No cash to close and/or reserves are required; No Minimum Reserves
Recent Mortgage / Ownership Seasoning Requirements	No Ownership seasoning is required for Primary Residence. If less < 6 months seasoning, Max CLTV reduced by 10%. Ownership seasoning of 6 months required for Second Home & Investment The appraised value may be used to determine loan-to-value as established by the required appraisal product. Purchase date to note date is used to calculate the 6 months. On Primary Residence, if less < 6 months seasoning since recent mortgage transaction, Max CLTV is reduced by 10% Min 6 months must have elapsed since the most recent mortgage transaction on 2nd Homes & Investment (either the original purchase transaction or subsequent refinance)
Citizenship	US Citizens; Permanent Resident Aliens; Non-Permanent Resident Aliens (w/ a SSN); Foreign Nationals & ITIN are ineligible; Borrowers w/o a valid SSN are ineligible.
Title Policy	1st Lien: Full Title Policy 2nd Lien: Loan Amounts ≤ \$400,000 - Owner and Encumbrance Property Report; Loan Amounts > \$400,000 - Full Title Policy
Credit	Standard: 3 tradelines reporting for 12+ months or 2 tradelines reporting for 24+ months with activity in the last 12 months or 1 tradeline reporting for 36+ months with activity in the last 12 months (36+ month tradeline must be a mortgage or installment account). Acceptable tradelines must show 0x60 in most recent 12 months from application date Limited Tradelines Allowed - Primary only; Max CLTV of 75%
1st Lien HELOC Overlays	1st Lien HELOCs are allowed. Full title policy is required if HELOC is in 1st lien position Max 80% LTV Max Loan Amount \$1,000,000
Appraisal Requirements	For loan amounts ≤ \$400,000, one of: ▪ AVM (see requirements below) + Property Condition Report (or) Full interior appraisal (Fannie Mae Form 1004 or 1025) For loan amounts > \$400,000: ▪ Full interior appraisal (Fannie Mae Form 1004 or 1025); Other Requirements: ▪ Appraisal Waivers are not acceptable
AVM Requirements	Acceptable Vendors: ClearCapital Confidence Rating: ClearCapital (≥ 90% / ≤ 0.10); See Guidelines for additional details If the AVM does not provide the required FSD score or confidence rating, the AVM is considered ineligible and Full Interior Appraisal is required
Listed Properties	Properties listed for sale in prior 6 months from application are ineligible
Escrows	Flood Insurance is required to be escrowed if the first mortgage does not contain and subject is in a flood zone
Declining Markets	If property is located in a declining market as indicated by the appraisal, Max CLTV is reduced by 5%
Compliance	Compliance with all applicable federal and state regulations
Other	The presence of solar panels / solar panel agreements are allowed with adherence to FNMA guidelines; properties where solar panels carry a lien against the subject are not eligible for financing
LLC Vesting	LLC vesting allowed for investment only
Hazard Coverage	100% replacement cost or updated coverage to cover both the 1st and 2nd lien required
State Limitations	TX Cashout on Primary Residence Limited to 80% CLTV; Philadelphia, PA max CLTV reduced by 10% for all occupancies
Ineligible States	Delegated: Primary & Second Home - TN, NY; All Occupancies: HI - lava zones 1 & 2; All Occupancies: Baltimore City, MD: TX Second Home & Investment; Non-Delegated: Primary & Second Home- TN, NY; All Occupancies: HI-lava zones 1& 2; All Occupancies: Baltimore City, MD; TX Second Home & Investment

Cliffco Mortgage® LLC. All rights reserved. This material is intended solely for the use of licensed mortgage bankers. Distribution to consumers is strictly prohibited. Program and rates are subject to change without notice.
Not available in all states. Terms subject to qualification. Disclosures & Licenses: https://Cliffcomortgage.com/disclosures-and-licenses/ NMLS Consumer Access:http://nmlsconsumeraccess.org/
NMLS #65328

